and the capital market, through equity and bond issues, and through institutional finance. It was thus developing a healthy mix of resource growth on which to build its future housing loan portfolio.

Every institution operates in a certain environment. When HDFC began its operations, it faced an especially difficult problem: it had to create the environment in which housing finance could be a viable activity. Within five years of its existence, it had succeeded in creating the beginnings of that environment. Parekh observed that the first step was recognition of the need for strengthening existing institutions like HUDCO and HDFC and creation of new ones like housing co-operative societies and building societies. The second step involved the evolution of an institutional structure through which housing finance activity could effectively be undertaken to meet the vast demand. The third step required the development of the environment in which this institutional structure would both survive and thrive: the enabling environment.[27]

Parekh emphasized that solving the housing problem required concerted efforts from all concerned. ‘People who construct, people who purchase and people who finance should mesh harmoniously through a multi-agency institutional structure supported by Government to help solve all aspects of the problem facing the housing industry. I use the phrase “housing industry” advisedly as it has the most pervasive effects on overall development. For far too long, housing has been regarded as an activity that can assume a low priority in the development budget of a growing nation.’[28]

Housing finance is essentially a retail financial activity which involves a multitude of loans to individual households. Over the years, HDFC has built up an organizational structure that is specially designed to meet these exacting requirements. The creation and development of a new financial activity requires two vital components: the first is an identified flow of resources to the new activity, and the second is the managerial competence with which these resources are made available to the targeted groups at least cost. HDFC had to meet very exacting standards on both counts. For the first time a financial institution (which was not a bank) had to style its operations to meet a retail financial need. HDFC had to deal with a multitude of small loans rather than a small number of larger ones every year.